

THE AUSTRALIAN EV NOVATED LEASE PLAYBOOK 2026

Everything you need to know before signing anything

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If you are an Australian employee considering an electric vehicle, this guide could be worth \$13,000 to \$25,000 to you. That is not a headline number — that is what the tax maths actually produces for a typical employee on \$100,000–\$150,000 who uses a novated lease instead of buying outright. Most Australians either do not know novated leasing exists, do not understand how it works, or get sold into one without understanding the traps. This guide fixes all three.

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Disclaimer: This guide is for general information purposes only and does not constitute financial, tax, or legal advice. Always seek professional advice before entering into any novated lease arrangement. Information is current as at May 2026.

CHAPTER 1: WHAT IS A NOVATED LEASE — IN PLAIN LANGUAGE

A novated lease is a three-way agreement between you, your employer, and a finance company.

The finance company leases the car in your name. Your employer deducts the lease payments — plus all running costs — from your salary before tax is calculated. This lowers your taxable income, which means you pay less income tax. That is the first saving.

The second — and bigger — saving is Fringe Benefits Tax (FBT). Normally when your employer gives you a non-cash benefit like a car, they pay FBT. At the standard rate that is 20% of the car's value multiplied by 47% — about \$5,800 per year on a \$62,000 car.

Since July 2022, the Australian Government removed FBT entirely on eligible electric vehicles. The tax that would have cost you thousands per year simply does not apply.

With an EV novated lease you get two things working together: lower taxable income from pre-tax payments, and zero FBT on the vehicle. That combination is why the numbers look so good.

CHAPTER 2: HOW MUCH WILL YOU ACTUALLY SAVE

Real example: \$100,000 salary · \$62,000 BYD Seal Premium · 3-year lease · 15,000km/year

Without the FBT exemption, your employer owes approximately \$5,828 per year in FBT ($20\% \times \$62,000 \times 47\%$). Over 3 years that is \$17,484 flowing back as higher costs. With the FBT exemption: zero.

Your annual lease repayment of approximately \$14,000 comes from pre-tax salary. At a 32% effective marginal rate, the income tax saving is roughly \$4,480 per year — \$13,440 over 3 years.

Total estimated saving over 3 years: \$13,000 to \$18,000

Annual Income	Tax Bracket	Est. 3-Year Saving (on \$62k EV)
\$70,000 – \$90,000	19% – 32.5%	\$8,000 – \$11,000
\$90,000 – \$120,000	32.5%	\$11,000 – \$14,000
\$120,000 – \$150,000	37%	\$14,000 – \$18,000
\$150,000 – \$190,000	45%	\$18,000 – \$23,000
\$190,000+	47%	\$22,000 – \$28,000

Estimates based on standard ATO rates. Your actual saving depends on salary, lease structure, and vehicle price. Always get a personalised quote from your provider.

CHAPTER 3: WHO CAN USE A NOVATED LEASE

Two things need to be true:

1. Your employer offers salary packaging

Most medium to large employers do — government departments, hospitals, schools, universities, banks, and most corporates. Ask HR: "Does our organisation offer salary packaging or novated leasing?" It is a yes or no question.

2. You are a permanent employee

Contractors, sole traders, and the self-employed cannot access novated leases — FBT is an employer-employee arrangement. Casual employees can sometimes access them depending on employer policy.

CHAPTER 4: WHICH EVs QUALIFY FOR THE FBT EXEMPTION

Rule 1: Must be a full Battery Electric Vehicle (BEV)

Plug-in hybrids (PHEVs) lost the FBT exemption for any new lease entered after 1 April 2025. No new PHEV arrangements get the exemption.

Rule 2: Must be under the fuel-efficient LCT threshold (~\$91,000+) at first retail sale

If LCT was ever payable on the vehicle at first retail sale, it is permanently ineligible — even if the price has since dropped below the threshold.

Rule 3: Must have been first held and used on or after 1 July 2022

Used EVs registered after 1 July 2022 can still qualify. Pre-July 2022 vehicles cannot.

■■ THE ACCESSORIES TRAP — READ THIS CAREFULLY

If you add any extras before delivery — tinted windows, floor mats, upgraded alloy wheels — those accessories count toward the LCT value. You could push yourself over the threshold and permanently lose the FBT exemption. Always confirm the total LCT value including all pre-delivery additions before signing anything.

Popular EVs that qualify vs those that do not:

Model	Price (RRP)	Status
BYD Atto 1 Essential	\$23,990	✓ Qualifies
BYD Dolphin Essential	\$29,990	✓ Qualifies
MG4 EV Urban 43kWh	\$31,990	✓ Qualifies
GWM Ora Lux	\$35,990	✓ Qualifies
BYD Atto 3 Essential	\$39,990	✓ Qualifies
Kia EV3 Air Long Range	\$53,315	✓ Qualifies
Tesla Model 3	\$54,900	✓ Qualifies
Hyundai Kona Electric SR	\$54,000	✓ Qualifies
Tesla Model Y RWD	\$58,900	✓ Qualifies
Hyundai Ioniq 6 Standard Range	\$65,500	✓ Qualifies
Tesla Model Y Long Range AWD	\$68,900	✓ Qualifies
Volvo EX40	\$69,990	✓ Qualifies
Hyundai Ioniq 5	\$76,200	✓ Qualifies (full exemption until Mar 2027, then \$75
Tesla Model Y Performance	\$89,400	✓ Qualifies — no accessories (very tight margin)
Kia EV6 GT	\$99,660	✗ Over threshold
BMW iX xDrive45	\$142,900	✗ Over threshold
Porsche Taycan	\$175,100	✗ Over threshold
Mercedes EQS 450	\$219,900	✗ Over threshold

Prices as at May 2026. Verify current pricing with your dealer before committing.

CHAPTER 5: WHAT RUNNING COSTS CAN YOU BUNDLE IN

This is one of the most underrated benefits. It is not just the car payment. You can include:

INCLUDED (pre-tax)	NOT INCLUDED
Lease repayments	Home charger hardware purchase
Registration	Parking fees
Comprehensive insurance	Speeding fines or tolls
Servicing and maintenance	Modifications after delivery
Tyres and roadside assistance	Car washes (generally)
Electricity charging costs	

Note on home charger: Ongoing electricity charging costs are included. The upfront hardware purchase is a separate arrangement — ask your provider as policies vary.

CHAPTER 6: NOVATED LEASE vs BUYING OUTRIGHT — THE REAL NUMBERS

\$65,000 EV on a \$120,000 salary over 5 years:

	Novated Lease (EV)	Car Loan (7%)	Cash Purchase
Monthly payment	~\$1,050 pre-tax	~\$1,280 post-tax	N/A
FBT payable	\$0	N/A	N/A
Tax saving (5yr)	~\$19,000	\$0	\$0
GST saving on purchase	~\$5,900	\$0	\$0
Total effective cost	~\$44,000	~\$76,800	\$65,000

Indicative only. Based on \$120,000 salary, 37% marginal rate, 5-year term, 15,000km/year.

CHAPTER 7: THE HIDDEN TRAPS MOST GUIDES DO NOT MENTION

Trap 1: The Residual Value

At the end of your lease you do not own the car outright — you must pay the residual value to keep it, re-lease, or hand it back. The ATO sets minimum residual values: 28.13% for a 5-year lease. On a \$60,000 car you will owe about \$16,878 at the end. Factor this in from day one.

Trap 2: Reportable Fringe Benefits

Even though your EV is FBT-exempt, it appears on your income statement as a reportable fringe benefit. This does not change your income tax — but it can affect HECS-HELP repayment thresholds, child support calculations, Centrelink eligibility, and Medicare Levy Surcharge thresholds. Talk to your accountant if any of these apply.

Trap 3: Changing Jobs Mid-Lease

If you leave your employer, your new employer can take over the lease, or you take over payments personally at after-tax rates. In a worst case you refinance to a car loan. This is a real risk if you are in a volatile industry. Consider carefully before signing a 5-year lease.

Trap 4: Provider Fees Vary Significantly

Management fees, establishment fees, and insurance margins vary between providers and can add thousands over the lease term. Always get quotes from at least two providers and ask them to itemise every fee. Never sign with the first provider you speak to.

Trap 5: The Accessories Trap

Adding accessories before delivery to a car near the LCT threshold can permanently disqualify it from the FBT exemption. Always confirm the total LCT value before signing.

CHAPTER 8: FBT CHANGES CONFIRMED — WHAT HAPPENS FROM 2027

UPDATED 5 MAY 2026 — GOVERNMENT-CONFIRMED POLICY CHANGES
Treasurer Jim Chalmers and Minister Chris Bowen announced confirmed changes to the EV FBT exemption on 5 May 2026. These are government-confirmed policy changes, not speculation.

Phase	Period	What Applies
Phase 1 (Now)	Now — 31 March 2027	Full FBT exemption on all eligible EVs under the LCT threshold (~\$91,000+)
Phase 2	1 April 2027 — 31 March 2029	Full exemption for EVs under \$75,000 only. EVs \$75k–LCT threshold: 25% FBT discount only
Phase 3	1 April 2029 onwards	All EVs below LCT threshold: 25% FBT discount only. No full exemption for any n

What this means for you:

- Existing leases are expected to be grandfathered under current rules — confirm with your provider
- If your EV is under \$75,000, the full exemption continues until at least March 2029
- If your EV is \$75,000–\$91,000+, the full exemption ends March 2027 — only 25% discount after that
- Starting a lease now locks in the full exemption for the entire lease term
- This is confirmed government policy — the urgency is real

For most Australians buying mainstream EVs under \$75,000 — BYD, MG, Kia, Hyundai, Tesla Model 3 and Model Y RWD — the full exemption remains extremely strong until at least March 2029. If you are considering an EV over \$75,000, the window for the full exemption closes March 2027.

CHAPTER 9: PROVIDER COMPARISON

Providers are listed alphabetically and are not ranked. EVClear does not receive commission or payment from any provider listed. This is independent information only.

Maxxia maxxia.com.au 1300 123 123	Australia's largest salary packaging provider, part of ASX-listed McMillan Shakespeare Group. Strong employer relationships across government, healthcare, and education. Good app and online portal. Management fee approximately \$200/year. Best for: Employees at large organisations where Maxxia is the default provider
Fleetcare fleetcare.com.au	Independently owned, nationwide. Known for competitive rates and good customer service. Particularly strong in WA and SA. Best for: Employees wanting an independent alternative to the big players
Novated Lease Australia novatedleas eaustralia.com.au	Specialist novated lease broker — works with multiple funders to find the best rate rather than being tied to one. Good for comparing options. Best for: First-time novated leasers who want to shop around
SG Fleet sgfleet.com/au 1300 132 692	One of Australia's largest fleet management companies. Strong in corporate and government sectors. NLC is now part of the SG Fleet Group. Best for: Employees at large corporates and government agencies

Questions to ask any provider before you sign:

- What is your annual management fee?
- What is the finance establishment fee?
- Do you charge an insurance margin on top of the premium?
- What residual value percentage do you use?
- Can I use any servicing provider or am I locked into your network?
- What happens to my lease if I change jobs?
- Can I bundle a home EV charger?
- What are the exit fees if I end the lease early?

CHAPTER 10: HOW TO GET STARTED — STEP BY STEP

Step 1

Check if your employer offers salary packaging

Ask HR: "Does our organisation offer salary packaging or novated leasing?" If yes, ask which providers they work with.

Step 2

Choose your EV

Make sure the total on-road price — including all accessories — is below the LCT threshold (~\$91,000+). Confirm with the dealer.

Step 3

Get quotes from 2–3 providers

Use the questions in Chapter 9. Ask for a fully itemised quote — not just the weekly payment. Compare the total cost of the lease.

Step 4

Run your numbers first

Use the free EV novated lease calculator at evclear.com.au/calculator to estimate your weekly payment, tax savings, and total lease cost before you talk to anyone.

Step 5

Talk to your accountant

Especially if you have HECS debt, receive government benefits, pay child support, or have complex income arrangements.

Step 6

Get your employer's approval

Your employer signs a novation agreement with the provider. Most providers handle this paperwork on your behalf.

Step 7

Order your car

Once everything is signed, order the vehicle through your provider. They handle the purchase, registration, and insurance setup.

FREQUENTLY ASKED QUESTIONS

Q: Is a novated lease EV worth it in Australia?

A: For most employees earning above \$70,000 with access to salary packaging — yes. The combination of zero FBT (until at least 2027) and pre-tax lease payments produces savings that are hard to replicate any other way. Even at \$70,000–\$80,000 income the saving on a 3-year lease is typically \$8,000–\$11,000 on a mid-range EV.

Q: Which EVs qualify for the FBT exemption in Australia?

A: Eligible Battery Electric Vehicles (BEVs) with a first retail sale price below the fuel-efficient LCT threshold (currently approximately \$91,000+). The car must have been first held and used on or after 1 July 2022. PHEVs no longer qualify for new leases from 1 April 2025. From April 2027, the full exemption only applies to EVs under \$75,000.

Q: Can I include home charging costs in a novated lease?

A: Yes — ongoing electricity costs from charging can be bundled into your novated lease running costs and paid from pre-tax salary. The upfront hardware purchase of a home charger is handled separately — ask your provider as policies vary between companies.

Q: What happens if I change jobs during a novated lease?

A: The lease does not automatically terminate. Your new employer can take over the novation agreement (most large employers will). If your new employer does not offer salary packaging, you continue payments personally at after-tax rates, or refinance to a standard car loan. Factor this in before signing a long lease term.

Q: What is the difference between novated lease and salary sacrifice?

A: Salary sacrifice is the broad term for using pre-tax salary to pay for a benefit. A novated lease is a specific type of salary sacrifice arrangement for a car. All novated leases involve salary sacrifice, but not all salary sacrifice involves a novated lease.

Q: Can I get a used EV on a novated lease?

A: Yes — but to qualify for the FBT exemption the vehicle must have been first held and used on or after 1 July 2022. A used EV first registered before that date does not qualify for the exemption, though you can still use a novated lease without the FBT benefit.

Q: What is the LCT threshold and why does it matter?

A: The Luxury Car Tax threshold for fuel-efficient vehicles is currently approximately \$91,000+. If LCT was ever payable on a vehicle at its first retail sale, it permanently cannot qualify for the FBT exemption — even if the price later drops below the threshold.

Q: Will the FBT exemption end?

A: The full FBT exemption is confirmed until 31 March 2027 for all eligible EVs. From 1 April 2027, the full exemption continues only for EVs under \$75,000. From 1 April 2029, all EVs below the LCT threshold receive only a 25% FBT discount. Existing leases are expected to be grandfathered under current rules — confirm with your provider.

THE BOTTOM LINE

A novated lease on an eligible EV is one of the most tax-effective ways for eligible Australian employees to finance an electric vehicle right now.

The combination of zero FBT and pre-tax lease payments can save you \$8,000 to \$28,000+ depending on your income and vehicle — real money on a car you would be buying anyway.

Changes to the EV FBT exemption have been confirmed from 2027, with the full exemption remaining strongest for EVs under \$75,000. The window is open now.

Use the free EV novated lease calculator to estimate your weekly payment, tax savings, and total lease cost. Most people are surprised by how much the numbers change.

evclear.com.au/calculator

Disclaimer: This guide is for general information purposes only and does not constitute financial, tax, or legal advice. All figures are estimates. Your actual savings depend on your individual circumstances. Always seek professional advice before entering into any novated lease arrangement. Information is current as at May 2026. ATO source: ato.gov.au

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